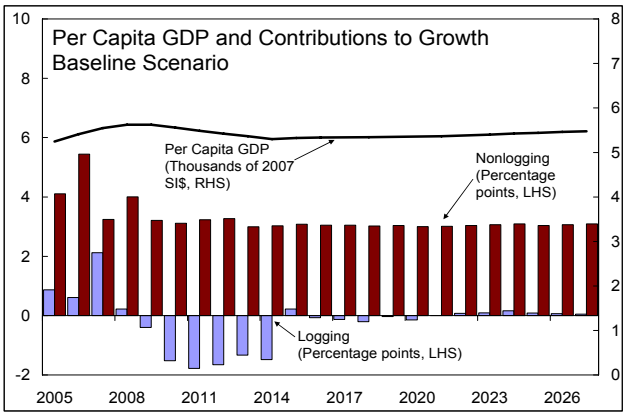
APPENDIX I. SOLOMON ISLANDS: JOINT FUND-BANK DEBT SUSTAINABILITY ANALYSIS (DSA)

Under the medium-term baseline scenario, living standards would fail to rise, and the debt remains at high risk of distress.[1] *Assuming macroeconomic stability, but an unchanged reform pace, growth would average 3 percent. Logging would start detracting significantly from growth from 2010 after its recent acceleration brought forward the exhaustion of the natural forest. Although the debt situation has continued to improve, historical scenarios and several stress tests—even some temporary ones—still lead to a significant rise in the debt burden and cause several indicators to rise above thresholds.*

Appendix Box 2. Medium-Term Baseline Scenario



Under the medium-term baseline scenario, real GDP growth is projected at an average of 2.8 percent, barely matching the population growth. This scenario assumes RAMSI and donor support, an unchanged pace of reforms, and that the two large projects that have recently started (the palm oil plantation and the gold mine) will continue, but no major new nonlogging activities would commence. Based on a new government report, logging is projected to continue at over 5 times the sustainable rate in 2007-2009, given continued strong expected demand from China and favorable international prices, after which it drops dramatically and detracts significantly from growth until the natural forests are exhausted in 2014. After 2014, logging is expected to contribute only marginally to growth, mainly from plantations. Nonlogging growth is projected at an average of 3¾ percent in the medium term, and is expected to stabilize at about 3 percent in the long run. Inflation is projected to ease but would remain at around 5 percent. The real effective exchange rate is assumed to be constant. Despite the decline in logging exports, the current account deficit is expected to narrow rapidly as import growth declines given lower official development assistance (ODA) and investment inflows, and as the gold mine starts production in 2008, but would remain at about 8 percent of GDP. The reserve cover is projected to fall, but would remain adequate at above 3 months of imports. The budget position would need to maintain a small surplus due to financing constraints and the desire to avoid abrupt fiscal retrenchment, and to reduce the high public debt.

Risks to the baseline are tilted to the downside. Potential risks stem mainly from: the country's history of political instability, disruption to law and order, slippages in fiscal discipline, donors leaving and interruptions in aid flows, and adverse exogenous shocks, such as to the terms of trade, given the highly-concentrated export base. Also, growth and exports have been highly volatile.

[1] Data on private external, state enterprise, and provincial government debt are not available. Therefore, the analysis is limited to central government debt data.

Progress has been achieved in regularizing the debt situation. The Honiara Club initiative led to a short-term moratorium on principal payments and the forgiveness of interest payments during the moratorium (0.2 percent of GDP) from one creditor, which expires in 2007, as well as the possibility of debt forgiveness and arrears settlement after an ongoing review.[2] This analysis, however, does not assume debt forgiveness, but incorporates the impact of the short-term moratorium and related interest forgiveness. Successful negotiations with an external commercial creditor achieved debt relief amounting to ½ percent of GDP in July 2006. In February 2006, agreement was also reached on debt owed to the Central Bank of the Solomon Islands (CBSI): 25 percent of interest arrears amounting to 0.4 percent of GDP was settled, the rest was forgiven (1.3 percent of GDP), and outstanding advances were converted into long-term bonds carrying a 2¼ percent interest rate. The stock of arrears to suppliers also fell by about 1 percentage point of GDP to 1.2 percent of GDP in 2006. These developments helped bring down total public debt to 73 percent of GDP at end-2006, from 81 percent of GDP in 2005.

Debt Sustainability in the Baseline Scenario

Results of the baseline external debt sustainability analysis are mixed (Appendix Table 10).[3] At end-2006, the NPV of external debt to GDP at 37 percent was higher than its Board-endorsed threshold, but is expected to fall below it by 2009. This relies critically on the assumption that the government's current policy of incurring no new debt will continue.[4] All other indicators, including the ratios of the NPV of debt to exports and revenue, and debt service ratios were below their thresholds, and are expected to decline over time. Although the starting point of the NPV of external debt to GDP is about the same as earlier projected for 2006, indicators decline at a slower pace over the medium term due mainly to the lower projected GDP and the faster decline in logging revenue.

Albeit declining, the overall central government debt remains high (Appendix Table 12). At end-2006, central government domestic debt including arrears stood at 19 percent of

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[2] The Honiara Club is a multilateral forum convened by the government in October 2005 to seek debt relief from its official creditors. Four creditors participated in the Honiara Club, namely, the Export Finance and Insurance Corporation (EFIC), the European Commission, the European Investment Bank, and the International Fund for Agricultural Development.

[3] This analysis assumes that the government remains current on all obligations from June 2007, and that all debts in arrears are treated as a current short-term obligation with NPV equal to its face value. Existing external arrears are assumed to continue growing with accrued interest.

[4] The thresholds (see Appendix Table 10) apply to countries with weak policies and institutions, and are discussed in *Operational Framework for Debt Sustainability Analysis in Low Income Countries—Further Considerations*. Albeit improving, the Solomon Islands' 3-year average CPIA at 2.5 remains the lowest among the Pacific Island Countries.

GDP, from its 2003 peak of 51 percent. In 2007, this is expected to decline further to 16.3 percent of GDP, partly reflecting the settlement of most remaining informal arrears and the continuing repayment of existing debt as scheduled. Nevertheless, total central government debt would still be 42 percent of GDP in 2012, and the NPV of public sector debt to revenue ratio stays above 100 percent until 2011.

Risks to the debt dynamics

Historical scenarios and even some *temporary* stress tests demonstrate the country's vulnerable debt position (Appendix Tables 11 and 13).

- *External Debt:* Key variables at their historical averages set the NPV of external debt to exports on a rising path as historical averages for real GDP and export growth are close to zero, and the 10-year average of non-debt creating flows is significantly below recent levels. The export shock (bound test B2) is the most extreme stress test for the NPV of debt to export and NPV of debt service to export ratios due to the high volatility of exports. Even a temporary decline in export growth to its historical average increases the NPV of debt to exports to twice its threshold. The most extreme stress test for the NPV of debt to GDP ratio is the temporary reversion to historical averages, minus one half a standard deviation, of real GDP growth, export growth, the U.S. dollar GDP deflator, and net non-debt creating flows (bound test B4). If all recognized contingent liabilities are realized (14 percent of GDP), the NPV of external debt to GDP would exceed 30 percent of GDP until 2015.

- *Public Debt:* Lower GDP growth, even temporarily, and a return of growth and the primary balance to their historical averages causes the NPV of public debt to GDP and revenue ratios to rise dramatically. The most extreme stress test, which assumes a temporary decline in GDP growth to its historical average less one standard deviation, almost triples the current level of the NPV of public debt to revenue ratio.

These tests seem especially relevant given the country's volatile economic and political history, poor credit history, and mixed progress in key areas of the reform agenda.

These results are indicative given major uncertainties surrounding important variables. Macroeconomic variables (especially GDP) are subject to large measurement errors. ODA plans are uncertain and contingent liabilities are likely to increase as the SOEs' financial situation remains poor.

The authorities should sustain their efforts to regularize debt and uphold the policy of no new borrowing at least until all indicators fall below the thresholds. In view of impending fiscal pressures from declining logging revenues and aid, and the need to sustain progress towards debt sustainability, the authorities should maintain fiscal prudence, continue to work towards clearing all arrears, retain the policy of no new borrowing, and anchor fiscal

policy to a medium-term framework. Vigorously pursuing SOE reform and strengthening the National Provident Fund will also be necessary to minimize future contingent liabilities to the budget.

Appendix Table 10. Solomon Islands: External Debt Sustainability Framework, Baseline Scenario, 2006–27 1/
(In percent of GDP, unless otherwise indicated)

	Actual			Estimate	Projections													
	2006	Historical Average 5/	Standard Deviation 5/	2007	2008	2009	2010	2011	2012	2007-12 Average	2013	2014	2015	2016	2017	2027	20013-27 Average	Board Endorsed Threshold 6/
External debt (nominal) 1/	53.9			50.4	46.5	42.8	39.6	36.6	33.8		31.1	28.6	26.2	24.0	21.9	9.2		
Of which: public and publicly guaranteed (PPG)	53.9			50.4	46.5	42.8	39.6	36.6	33.8		31.1	28.6	26.2	24.0	21.9	9.2		
Change in external debt	-3.0			-3.5	-3.9	-3.7	-3.1	-3.0	-2.8		-2.7	-2.5	-2.4	-2.2	-2.1	-0.4		
Identified net debt-creating flows	-5.8			6.9	1.5	-5.2	-3.8	-2.3	-3.3		-3.2	-5.2	-4.3	-4.9	-3.0	-1.9		
Noninterest current account deficit	26.1	7.1	10.9	39.4	26.9	13.4	8.4	9.3	7.9		9.7	6.8	7.4	5.8	6.2	2.5		
Deficit in balance of goods and services	32.0			43.7	29.7	16.0	11.1	12.1	10.6		12.4	9.6	10.3	8.8	9.4	5.8		
Exports	51.7			55.6	61.9	62.3	60.1	57.7	55.7		52.4	48.4	47.8	46.7	45.5	30.6		
Imports	83.7			99.4	91.6	78.3	71.2	69.8	66.2		64.8	58.0	58.1	55.5	54.9	36.4		
Net current transfers (negative = inflow)	-4.7	-2.0	4.1	-3.9	-3.9	-3.9	-3.9	-3.9	-3.9		-3.8	-3.8	-3.8	-3.8	-3.8	-3.8		
Other current account flows (negative = net inflow)	-1.1			-0.4	1.1	1.3	1.2	1.1	1.2		1.1	1.1	0.9	0.8	0.7	0.5		
Net FDI and other nondebt-creating flows (negative = inflow)	-26.1	-8.3	10.9	-30.7	-24.2	-18.1	-12.2	-11.7	-11.2		-12.8	-12.0	-11.2	-10.4	-9.0	-4.3		
Endogenous debt dynamics 2/	-5.7			-1.9	-1.3	-0.5	0.0	0.1	0.0		0.0	0.0	-0.5	-0.3	-0.3	-0.1		
Contribution from nominal interest rate	0.6			0.8	0.8	0.7	0.7	0.6	0.6		0.5	0.5	0.4	0.4	0.4	0.2		
Contribution from real GDP growth	-3.1			-2.7	-2.0	-1.3	-0.7	-0.6	-0.6		-0.5	-0.4	-0.9	-0.7	-0.7	-0.3		
Contribution from price and exchange rate changes	-3.3			…	…	…	…	…	…		…	…	…	…	…	…		
Residual (3-4) 3/	2.8			-10.4	-5.4	1.5	0.6	-0.7	0.5		0.5	2.7	1.9	2.6	1.0	1.5		
Of which: exceptional financing	-0.6			-0.3	-0.2	-0.2	-0.2	-0.2	-0.2		-0.2	-0.2	-0.2	-0.2	-0.2	-0.1		
NPV of external debt	36.7			34.3	32.0	29.6	27.7	25.7	23.9		22.1	20.4	18.8	17.2	15.8	6.4		
In percent of exports	71.0			61.7	51.7	47.5	46.0	44.5	42.9		42.2	42.1	39.2	36.9	34.7	20.8		
NPV of PPG external debt	36.7			34.3	32.0	29.6	27.7	25.7	23.9		22.1	20.4	18.8	17.2	15.8	6.4		30
In percent of exports	71.0			61.7	51.7	47.5	46.0	44.5	42.9		42.2	42.1	39.2	36.9	34.7	20.8		100
In percent of revenue (excluding grants)	126.3			106.6	101.9	85.0	80.5	76.5	72.7		68.4	65.4	62.4	57.4	53.0	23.1		200
Debt service-to-exports ratio (in percent)	4.0			3.9	3.3	3.8	3.4	3.5	3.3		3.3	3.3	3.0	2.9	2.7	0.8		
PPG debt service-to-exports ratio (in percent)	4.0			**3.9**	**3.3**	**3.8**	3.4	3.5	3.3		3.3	3.3	3.0	2.9	2.7	0.8		15
PPG debt service-to-revenue ratio (in percent)	8.0			**7.2**	**6.8**	**7.0**	6.2	6.2	5.8		5.6	5.3	5.0	4.7	4.4	0.9		25
Noninterest current account deficit that stabilizes debt ratio	29.1			42.9	30.8	17.2	11.5	12.3	10.7		12.4	9.3	9.8	8.1	8.3	2.9		
Key macroeconomic assumptions																		
Real GDP growth (in percent)	6.1	0.2	7.1	5.4	4.2	2.8	1.6	1.5	1.6	2.8	1.6	1.5	3.3	2.9	2.9	3.1	2.8	
GDP deflator in US dollar terms (change in percent)	6.1	-0.2	9.0	2.0	1.3	1.9	2.6	2.8	2.8	2.2	2.9	3.0	2.0	2.2	2.3	2.0	2.6	
Effective interest rate (percent) 4/	1.3	2.1	0.9	1.7	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.6	1.8	1.7	
Growth of exports of G&NFS (US dollar terms, in percent)	25.1	0.5	28.7	15.7	17.4	5.5	0.5	0.1	0.7	6.7	-1.6	-3.2	4.1	2.8	2.6	2.8	1.4	
Growth of imports of G&NFS (US dollar terms, in percent)	30.9	6.2	31.6	27.7	-2.7	-10.4	-5.2	2.2	-0.8	1.8	2.2	-6.3	5.5	0.5	4.0	3.2	1.4	
Grant element of new public sector borrowing (in percent)	…	…	…	54.8	…	…	…	…	…	54.8	…	…	…	…	…	…	…	
Memorandum item:																		
Nominal GDP (billions of US dollars)	0.336			0.361	0.381	0.399	0.416	0.434	0.453		0.474	0.495	0.522	0.549	0.578	1.007		

Sources: Data provided by the authorities; and Fund staff estimates.

1/ Refers to central government debt only due to data availability. This table assumes the government's current policy of not incurring new debt. The DSA exercise was conducted jointly with the World Bank.
2/ Derived as [r - g - r(1+g)]/(1+g+r+gr) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and r = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; identified net debt-creating flows and valuation adjustments. For projections also includes contribution from price and exchange rate changes. For 2007, about half was contributed by the difference between the current account deficit and net FDI inflows due mainly to the large imports and foreign borrowing related to the gold mine rehabilitation.
4/ Current-year interest payments divided by previous period debt stock.
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.
6/ These thresholds apply to countries with weak policies and institutions and are discussed in *Operational Framework for Debt Sustainability Analysis in Low-Income Countries--Further Considerations* .

Appendix Table 11. Solomon Islands: Sensitivity Analyses for Key Indicators of Public and Publicly Guaranteed External Debt, 2007–27 1/
(In percent)

	Estimate	Projections						
	2007	2008	2009	2010	2011	2012	2017	2027
NPV of debt-to-GDP ratio								
Baseline	34	32	30	28	26	24	16	6
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008–27 2/	34	32	32	33	32	33	36	41
A2. Realization of all recognized contingent liabilities as external debt in 2008 3/	34	44	42	40	38	36	28	18
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008–09 4/	34	36	36	34	31	29	18	9
B2. Export value growth at historical average minus one standard deviation in 2008–09 5/	34	42	55	53	51	49	40	17
B3. US dollar GDP deflator at historical average minus one standard deviation in 2008–09	34	36	37	34	32	29	19	14
B4. Net non-debt creating flows at historical average minus one standard deviation in 2008-09 6/	34	47	56	54	52	50	41	18
B5. Combination of B1-B4 using one-half standard deviation shocks	34	46	65	62	60	57	45	19
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 7/	34	45	42	39	36	33	21	13
NPV of debt-to-exports ratio								
Baseline	62	52	48	46	45	43	35	21
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008–27 2/	62	52	52	54	56	58	79	133
A2. Realization of all recognized contingent liabilities as external debt in 2008 3/	62	71	67	66	66	65	62	59
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008–09 4/	62	58	58	56	54	52	40	30
B2. Export value growth at historical average minus one standard deviation in 2008–09 5/	62	108	199	198	198	198	195	126
B3. US dollar GDP deflator at historical average minus one standard deviation in 2008–09	62	57	59	57	55	53	41	46
B4. Net non-debt creating flows at historical average minus one standard deviation in 2008–09 6/	62	76	90	90	90	90	89	57
B5. Combination of B1-B4 using one-half standard deviation shocks	62	86	125	124	124	123	118	75
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 7/	62	73	67	65	62	60	46	42
Debt service ratio								
Baseline	3.9	3.3	3.8	3.4	3.5	3.3	2.7	0.8
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008–27 2/	3.8	3.4	4.0	3.9	4.2	4.2	4.8	5.9
A2. Realization of all recognized contingent liabilities as external debt in 2008 3/	3.8	3.2	4.6	4.2	4.3	4.1	3.7	1.6
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008–09 4/	3.8	3.6	4.5	4.2	4.3	4.0	3.4	0.8
B2. Export value growth at historical average minus one standard deviation in 2008–09 5/	3.8	5.1	8.9	9.2	9.4	8.9	7.9	9.0
B3. US dollar GDP deflator at historical average minus one standard deviation in 2008–09	3.8	3.2	3.7	3.4	3.4	3.3	2.8	1.4
B4. Net non-debt creating flows at historical average minus one standard deviation in 2008–09 6/	3.8	3.2	4.1	4.1	4.2	4.0	3.5	4.1
B5. Combination of B1–B4 using one-half standard deviation shocks	3.8	4.2	6.1	6.2	6.3	6.0	5.3	5.2
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 7/	3.8	3.2	3.7	3.4	3.4	3.3	2.8	1.4
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline)	55	55	55	55	55	55	55	55

Sources: Data provided by the authorities; and Fund staff estimates.

1/ The DSA exercise was conducted jointly with the World Bank.
2/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Liabilities realized and add to arrears from the beginning of 2008, attracting an interest rate equal to 2008 six month libor.
4/ Ratios calculated using baseline export-to-GDP, since GDP and exports are driven by the same primary commodities.
5/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
6/ Includes official and private transfers and FDI.
7/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.

Appendix Table 12. Solomon Islands: Public Sector Debt Sustainability Framework, Baseline Scenario, 2004-27 1/ 2/

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2004	2005	2006	Historical Average 7/	Standard Deviation 7/	2007	2008	2009	2010	2011	2012	2007-12 Average	2017	2027	2013-27 Average
Public sector debt 2/	90.2	81.3	72.8			66.7	60.5	55.1	50.5	46.1	41.9		25.8	10.0	
Of which: foreign-currency denominated	60.4	56.9	53.9			50.4	46.5	42.8	39.6	36.6	33.8		21.9	9.2	
Change in public sector debt	-30.5	-9.2	-7.5			-6.3	-6.3	-5.6	-4.8	-4.4	-4.2		-2.6	-0.5	
Identified debt-creating flows	-22.9	-15.0	-14.8			-3.5	-5.9	-4.5	-3.9	-3.8	-3.5		-2.2	-0.4	
Primary deficit	-9.8	-3.4	-5.2	0.0	6.3	-0.5	-2.4	-2.2	-2.1	-2.2	-2.1	-1.9	-1.4	-0.2	
Revenue and grants	47.5	65.9	70.1			71.7	65.9	59.6	51.7	50.2	48.9		39.6	32.3	
Of which: grants	21.5	36.8	37.9			40.3	31.0	25.2	18.1	17.4	16.6		10.1	4.8	
Primary (noninterest) expenditure	37.7	62.5	64.9			71.2	63.5	57.4	49.6	48.1	46.8		38.2	32.1	
Automatic debt dynamics	-13.1	-8.5	-8.4			-3.0	-3.5	-2.3	-1.8	-1.7	-1.4		-0.7	-0.2	
Contribution from interest rate/growth differential	-11.5	-6.5	-6.5			-4.2	-3.4	-2.3	-1.5	-1.2	-1.1		-0.6	-0.2	
Of which: contribution from average real interest rate	-2.6	-2.2	-1.9			-0.5	-0.7	-0.6	-0.6	-0.5	-0.4		0.2	0.1	
Of which: contribution from real GDP growth	-8.9	-4.3	-4.6			-3.7	-2.7	-1.7	-0.9	-0.7	-0.7		-0.8	-0.3	
Contribution from real exchange rate depreciation	-1.7	-2.0	-1.8			1.2	-0.1	0.0	-0.4	-0.5	-0.3		...	...	
Other identified debt-creating flows	0.0	-3.2	-1.2			0.0	0.0	0.0	0.0	0.0	0.0		-0.2	0.0	
Privatization receipts (negative)	0.0	0.0	-0.3			0.0	0.0	0.0	0.0	0.0	0.0		-0.2	0.0	
Recognition of implicit or contingent liabilities 3/	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	-3.2	-0.9			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-7.6	5.9	7.3			-2.8	-0.4	-1.1	-0.8	-0.6	-0.7		-0.4	-0.1	
NPV of public sector debt	73.9	65.7	56.1			50.8	46.1	41.8	38.2	34.9	31.6		19.6	7.2	
Of which: Foreign-currency denominated	44.4	41.9	36.7			34.3	32.0	29.6	27.7	25.7	23.9		15.8	6.4	
Of which: External	44.4	41.9	36.7			34.3	32.0	29.6	27.7	25.7	23.9		15.8	6.4	
NPV of contingent liabilities (not included in public sector debt) 3/	…	...	13.5			12.3	11.1	10.2	9.4	8.8	8.2		5.7	2.7	
Gross financing need 4/	-8.0	2.0	-2.0			2.3	0.0	-0.1	-0.1	-0.2	-0.1		-0.1	0.2	
NPV of public sector debt-to-revenue ratio (in percent) 5/	284.3	226.1	174.1			161.9	132.3	121.7	113.8	106.1	98.0		66.6	26.2	
Of which: External	170.7	143.9	114.0			109.3	91.8	86.2	82.4	78.2	73.9		53.5	23.2	
Debt service-to-revenue ratio (in percent) 5/ 6/	6.8	14.7	6.9			6.1	4.5	4.1	3.9	4.0	4.3		2.7	0.7	
Primary deficit that stabilizes the debt-to-GDP ratio	20.7	5.8	2.3			5.8	4.0	3.4	2.7	2.3	2.1		1.3	0.3	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	8.0	5.0	6.1	0.0	7.1	5.4	4.2	2.8	1.6	1.5	1.6	2.8	2.9	3.1	2.8
Average nominal interest rate on forex debt (in percent)	2.0	1.6	1.3	2.3	1.2	1.7	1.7	1.7	1.7	1.7	1.6	1.7	0.0	0.0	0.4
Average real interest rate on domestic currency debt (in percent)	-4.3	-5.1	-4.7	-2.0	5.0	-2.3	-3.8	-3.6	-3.9	-3.4	-3.0	-3.3	5.9	17.5	8.8
Real exchange rate depreciation (in percent, + indicates depreciation)	-2.6	-3.5	-3.5	3.9	12.2	2.3	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	5.8	7.7	7.2	6.5	2.1	4.9	6.3	6.0	6.3	5.8	5.3	5.8	4.7	4.5	4.7
Growth of real primary spending (deflated by GDP deflator, in percent)	3.0	24.5	15.4	6.0	12.4	17.7	13.7	2.8	1.0	0.4	0.9	6.1	4.3	4.0	2.8
Grant element of new external borrowing (in percent)	...	...	...	...	...	54.8	...	...	...	...	...	54.8	...	...	...

Sources: Data provided by the authorities; and Fund staff estimates.

1/ The DSA exercise was conducted jointly with the World Bank.
2/ Gross central government debt, including informal arrears. Foreign currency denominated debt converted using end-of-period exchange rate.
3/ Current estimate of recognized contingent liabilities. Remaining contingent liabilities are estimated at 14.3 percent of GDP.
4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.
5/ Revenues excluding grants.
6/ Debt service is defined as the sum of interest and amortization of medium- and long-term debt.
7/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

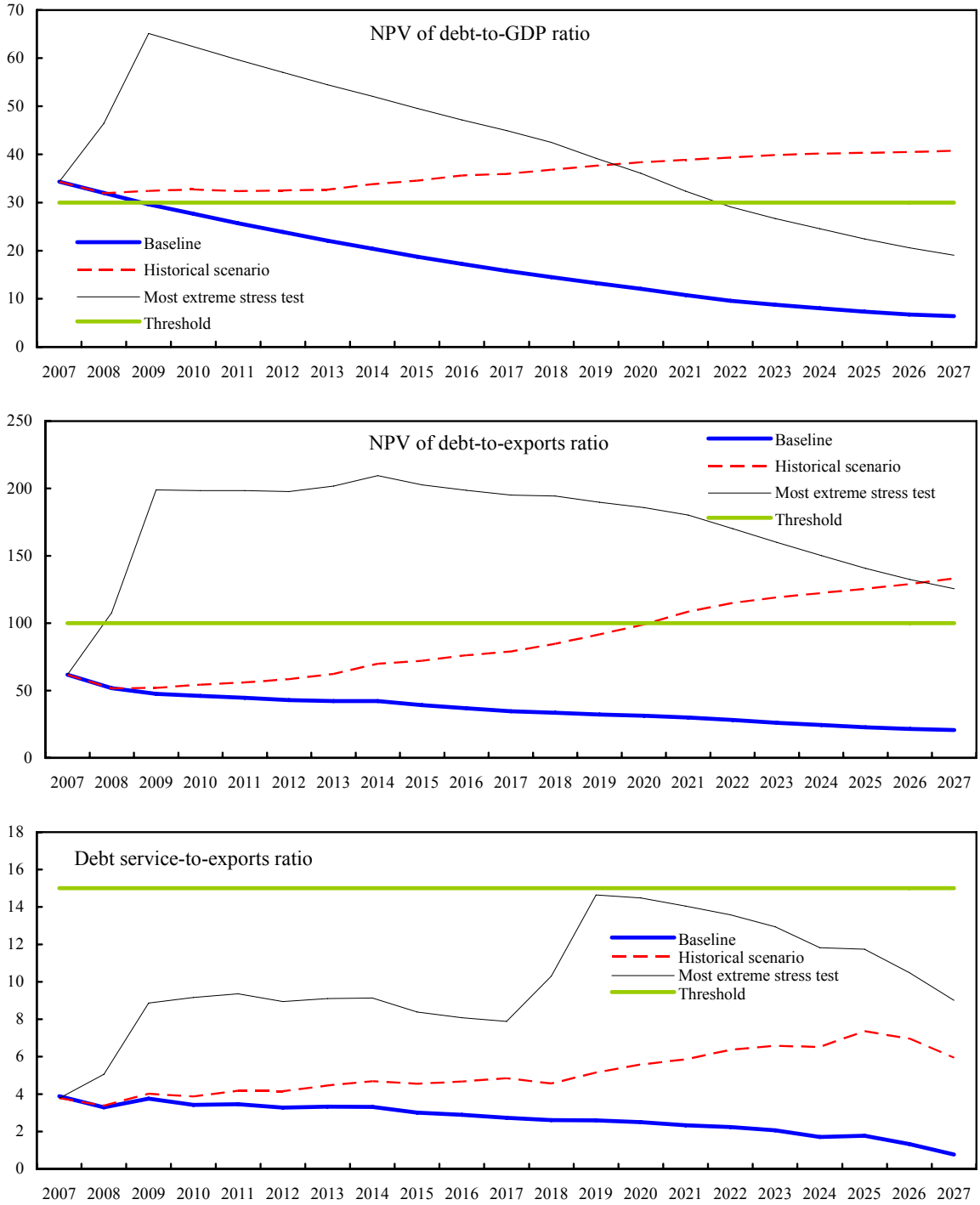
Appendix Table 13. Solomon Islands: Sensitivity Analysis for Key Indicators of Public Debt, 2007–27 1/

	Estimate	Projections						
	2007	2008	2009	2010	2011	2012	2017	2027
NPV of Debt-to-GDP Ratio								
Baseline	51	46	42	38	35	32	20	7
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	51	50	49	48	47	46	47	48
A2. Primary balance is unchanged from historical average	51	48	46	44	43	41	37	28
A3. Permanently lower GDP growth 2/	51	47	45	43	42	42	49	107
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviation in 2008-2009	51	56	64	67	70	73	90	123
B2. Primary balance is at historical average minus one standard deviation in 2008-2009	51	54	57	54	50	47	35	18
B3. Combination of B1-B2 using one half standard deviation shocks	51	55	59	52	46	41	19	6
B4. One-time 30 percent real depreciation in 2008	51	62	57	53	50	46	32	13
B5. 10 percent of GDP increase in other debt-creating flows in 2008	51	55	51	47	44	41	28	13
NPV of Debt-to-Revenue Ratio 3/								
Baseline	162	132	122	114	106	98	67	26
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	162	144	143	143	144	144	158	174
A2. Primary balance is unchanged from historical average	162	138	134	132	130	128	125	102
A3. Permanently lower GDP growth 2/	162	136	130	128	128	129	167	388
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviation in 2008-2009	162	160	186	199	212	226	304	447
B2. Primary balance is at historical average minus one standard deviation in 2008-2009	162	155	167	160	153	146	117	66
B3. Combination of B1-B2 using one half standard deviation shocks	162	158	171	156	141	126	65	240
B4. One-time 30 percent real depreciation in 2008	162	177	167	159	152	144	110	48
B5. 10 percent of GDP increase in other debt-creating flows in 2008	162	159	148	141	134	126	96	47
Debt Service-to-Revenue Ratio 3/								
Baseline	6.1	4.5	4.1	3.9	4.0	4.3	2.7	0.7
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	6.1	4.7	4.8	5.0	5.4	6.2	6.5	13.5
A2. Primary balance is unchanged from historical average	6.1	4.5	4.5	4.6	4.9	5.5	5.2	7.9
A3. Permanently lower GDP growth 2/	6.1	4.6	4.4	4.4	4.7	5.5	6.6	21.6
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviation in 2008-2009	6.1	5.0	5.8	6.8	7.9	9.3	12.2	31.9
B2. Primary balance is at historical average minus one standard deviation in 2008-2009	6.1	4.5	5.4	6.4	6.2	6.4	4.9	6.0
B3. Combination of B1-B2 using one half standard deviation shocks	6.1	4.8	5.7	6.2	5.7	5.8	2.8	8.9
B4. One-time 30 percent real depreciation in 2008	6.1	5.0	5.1	4.9	5.0	5.3	3.0	1.4
B5. 10 percent of GDP increase in other debt-creating flows in 2008	6.1	4.5	5.6	5.2	5.2	5.6	4.0	3.8

Sources: Data provided by the authorities; and Fund staff estimates.

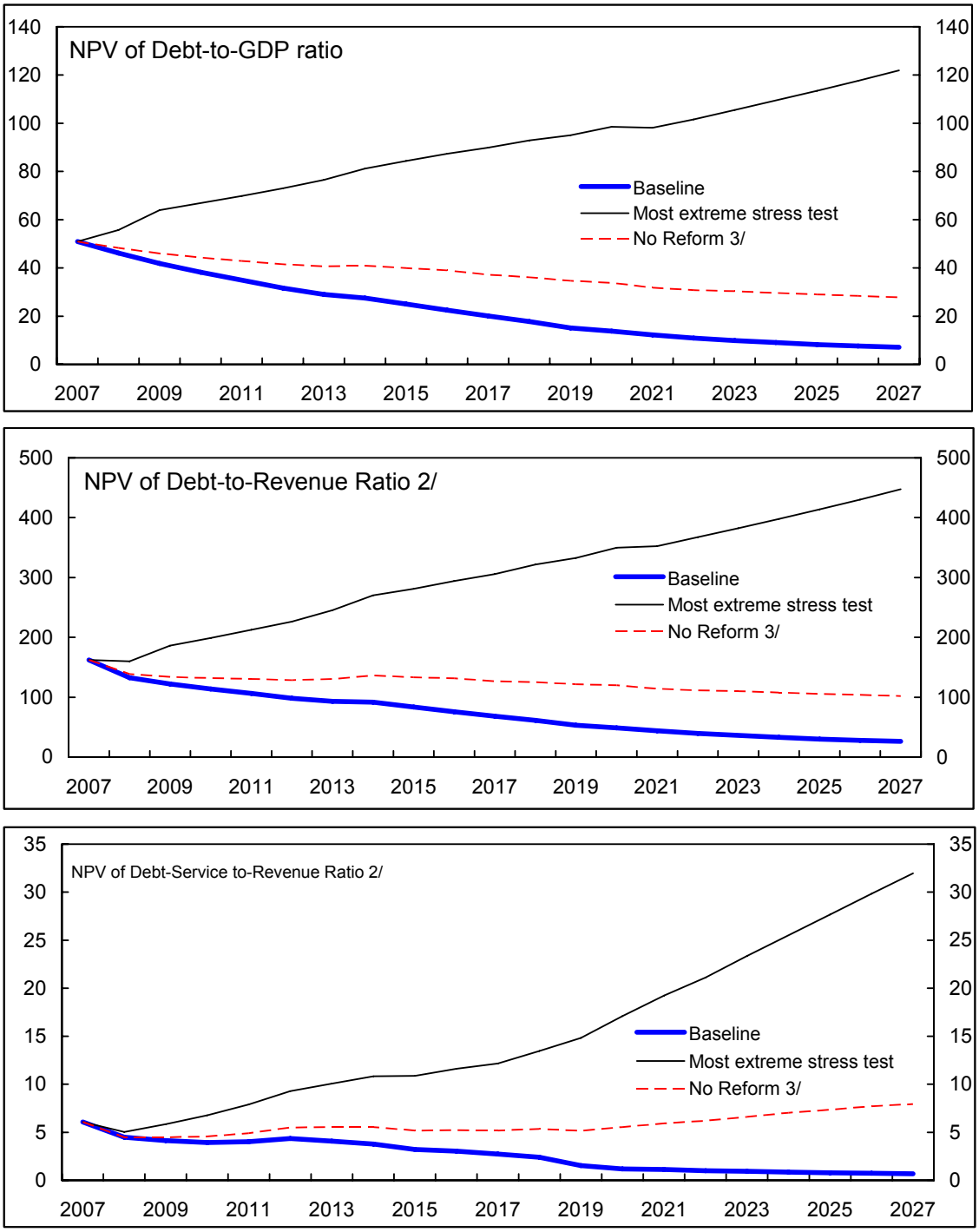
1/ The DSA exercise was conducted jointly with the World Bank.
2/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of 20 (i.e., the length of the projection period).
3/ Revenues exclude grants.

Appendix Figure 5. Solomon Islands: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2007–27
(In percent)



Source: Staff projections and simulations.

Appendix Figure 6. Solomon Islands: Indicators of Public Debt
Under Alternative Scenarios, 2007–27 1/
(In percent)



Sources: Staff projections and simulations.
1/ Most extreme stress test is test that yields highest ratio in 2017.
2/ Revenue includes grants.
3/ Primary balance remains at historical average.